

procedure will serve not only as a challenge to the efficiency of the management but also as a proper test of the wisdom of reinvesting the sums involved.

4. Issues paying periodic stock dividends enjoy a higher market value than similar common stocks not paying such dividends.

Variations in the Practice of Periodic Stock-Dividend Payment. The practice of disbursing periodic stock dividends developed fairly rapidly from about 1923 until the subsequent depression. Three variations of the idea were resorted to:

1. The standard method was to pay a stock dividend in addition to the regular cash dividend. These stock dividends were paid either monthly,⁵ quarterly,⁶ semiannually,⁷ or annually.⁸

2. Sometimes a periodic stock dividend was offered in lieu of the regular cash dividend. This took the form of an option to the stockholder to take a certain amount of either cash or stock.

Example: The Seagrave Corporation paid a dividend quarterly at the annual rate of either \$1.20 in cash or 10% in stock between 1925 and 1929, inclusive.⁹

3. In a few cases stock dividends only were paid, with no cash disbursement or option. The most prominent exponent of periodic stock dividends, the North American Company, followed this procedure by paying dividends of 21/2% in stock, quarterly, between 1923 and 1933, in which latter year the payment was reduced to 2% quarterly. (In 1935 the company gave up the stock-dividend policy and returned to a cash-dividend basis.)

⁵ Cities Service Company, from July 1, 1929 to June 1, 1932; Gas and Electric Securities Company between 1926 and 1931.

⁶ Sears, Roebuck and Company between 1928 and 1931; Auburn Automobile Company between 1928 and 1931; Federal Light and Traction Company between 1925 and 1932.

⁷ American Water Works and Electric Company between 1927 and 1930; American Gas and Electric Company between 1914 and 1932, with additional sporadic stock dividends; American Power and Light Company between 1923 and 1931, with extras in stock.

⁸ Continental Can Company in 1924 and 1925; R. H. Macy and Company, Inc., between 1928 and 1932; Truscon Steel Company between 1926 and 1931; General Electric Company between 1922 and 1925 (5% in special stock).

⁹ Compare this arrangement with the optional dividend or interest payments on preferred stocks and bonds, mentioned in Chap. 22, Note 1.